Events After Reporting Period

adjust or just disclose?

Corporate Financial Reporting

In simple words *Something happens after the year-end but before accounts are approved. Ask: did it prove a year-end condition, or is it new?*

1 Events after reporting period

Favourable or unfavourable events between the end of the reporting period and the date the financial statements are approved for issue.

Window ends at approval date, not AGM date

2 Adjusting event

Event giving evidence of conditions that existed at the end of the reporting period. Amounts in the statements are changed.

1. Adjusting events: evidence of conditions existing at the reporting date; recognised amounts are changed.
2. Non-adjusting events: conditions arose after the reporting date; only disclosed if material.
3. Dividends declared after the reporting period are not recognised as a liability at that date; disclose them.
4. If going concern no longer holds after the period, accounts are not prepared on a going concern basis (adjusting in effect).



Swipe for the summary →

Rahul KP
@cacmagyan



ADJUSTING VS NON-ADJUSTING

sort every event into a box

Ind AS 10: Events after Reporting Period

EVENT	ADJUSTING?	TREATMENT
Customer insolvent after year-end, owed old debt	Yes	Adjust receivable
Court case settled, existing obligation at year-end	Yes	Adjust provision
Fraud or error found, shows statements wrong	Yes	Adjust accounts
Fire destroys stock after year-end	No	Disclose if material
Fall in market value of investments after year-end	No	Disclose if material

CONDITION AT YEAR-END? ADJUST! Adjust only if the event confirms a condition that already existed on the reporting date; new conditions are disclosed.

Swipe for a memory trick →

RAHUL KP
@cacmagyan



STUDY TRICK

Ind AS 10: Events after Reporting Period

Ask one question

OLD CAUSE = ADJUST

If the cause is old (existed at year-end), adjust. If the cause is new (arose after year-end), only disclose. Think of a fire: new cause, so disclose.

HOW TO ATTEMPT IT

1 Note year-end and approval date → 2 Is event inside this window? →

3 Did the condition exist at year-end? → 4 Yes: adjust amounts →

5 No: disclose nature and estimate

EXAM TIP

Use the approval date by the board for issue as the cut-off. Always state the reason for adjusting or not adjusting in your answer.

DOUBT BUSTER

Dividend declared after year-end: why no liability? There is no present obligation at the reporting date, since the dividend was not declared then. So it is not recognised; it is disclosed.

Swipe for common mistakes →

RAHUL KP
@cacmagyan



COMMON MISTAKES

Ind AS 10: Events after Reporting Period

Watch the cut-off

✗ Adjusting for a fire loss that happened after year-end

✓ It is a non-adjusting event; disclose nature and financial effect if material.

✗ Recognising proposed dividend after year-end as a liability

✓ No liability at the reporting date; disclose the dividend in the notes.

✗ Treating the AGM date as the end of the event window

✓ The window ends on the date the financial statements are approved for issue.

TOMORROW'S CMA FINAL MCQ TESTS THIS! Revise it tonight, then try the MCQ.

Save this for revision!

RAHUL KP
@cacmagyan

